

Systemic Risk in the DSA & AI Act

1. Summary

The European Union's digital regulatory architecture heavily relies on two foundational pillars: the **Digital Services Act (DSA)** and the **Artificial Intelligence Act (AIA)**. While both frameworks converge around the concept of **systemic risk management**, they approach it from fundamentally different paradigms. The DSA functions as an *infrastructure-oriented framework*, holding massive platforms accountable for downstream content distribution and democratic impact. Conversely, the AIA operates on a *product safety* model, regulating AI capabilities upstream at the design and development levels. This creates a multi-layered but fragmented governance regime with critical compliance overlaps and structural gaps regarding information ecosystems.

2. Systemic Risk Under the Digital Services Act (DSA)

The DSA targets **Very Large Online Platforms (VLOPs)** and **Very Large Online Search Engines (VLOSEs)** - defined as services exceeding 45 million monthly active users in the EU.

- **Definition:** The DSA does not explicitly define "systemic risk". Legal scholarship interprets it as risks that pervasively impact society at large.
- **The Four Pillars of Systemic Risk (Art. 34(1)):** Platforms must conduct annual assessments on:
 1. Dissemination of illegal content.
 2. Adverse effects on fundamental rights (specifically freedom of expression and media freedom).
 3. Negative impacts on civic discourse, electoral integrity, and public security.
 4. Risks regarding gender-based violence, public health, well-being, and minors.
- **Infrastructure over Content:** The DSA moves past mere content moderation to audit the underlying infrastructure. Providers must evaluate how core platform design features—such as **algorithmic recommenders** and **ad-incentivised systems**—amplify societal harms and both illegal and harmful legal content (Recitals 79, 84).
- **Enforcement & Mitigation (Art. 35, 37, 41):** Platforms are mandated to actively implement preventive, proportionate mitigation measures. This internal governance is reinforced by mandatory independent annual audits and the appointment of dedicated compliance officers.

3. Systemic Risk Under the Artificial Intelligence Act (AIA)

Unlike the platform-centric DSA, the AIA applies a cross-sectoral product-safety approach, categorizing AI applications based on their tier of risk.

- **Definition (Art. 3(65)):** The AIA explicitly defines systemic risk as risks specific to the **high-impact capabilities of general-purpose AI (GPAI) models**. These are risks capable of causing significant impact on the EU market due to scale, reach, or foreseeable negative impacts on public health, safety, security, fundamental rights, and society as a whole.
- **Classification (Art. 51):** Systemic risk status is not uniform. A GPAI model is designated as systemically risky based on technical benchmarks demonstrating high-impact capabilities, or via a formal classification by the European Commission.
- **Enhanced Compliance Obligations (Art. 55):** Providers of systemically risky GPAI models face rigorous oversight, including mandatory incident reporting, continuous risk assessment/mitigation, and strict cybersecurity protocols.

4. Conceptual Convergence vs. Operational Divergence

The structural interplay between the two acts presents an uneven regulatory alignment:

Dimension	Digital Services Act (DSA)	Artificial Intelligence Act (AIA)
Primary Focus	Downstream Distribution: Platforms, online infrastructure, and dissemination of content.	Upstream Design: Technical model design, development, and capabilities.
Legal Definition	Undefined: Assessed via societal/democratic impact areas.	Defined (Art. 3(65)): Tied to high-impact technical thresholds and market propagation.

Target Entities	Designated VLOPs and VLOSEs (>45M users) uniformly.	High-impact GPAI model developers and providers conditionally.
Media & Pluralism	Core Mandate: Explicitly protects information diversity and democratic institutions.	Indirect Mandate: Focused broadly on product safety and fundamental rights.

The Point of Intersect (Recital 118 & Recital 136)

- **Regulatory Presumption:** When an AI system is natively integrated into a VLOP or VLOSE, compliance with the DSA's systemic risk framework is assumed to satisfy the AIA's standards, unless out-of-scope risks are identified.
- **Synthetic Content Transparency (Art. 50(2)):** To battle AI-generated disinformation (flagged as a major threat to elections under AIA Recital 73), the AIA forces GPAI providers to ensure synthetic content (text/images) is machine-readable and explicitly marked as artificial. This mechanism functions as a critical technical tool to assist VLOPs in meeting their DSA enforcement obligations.

5. Media Freedom, Pluralism, and Disinformation Gaps

The core critique of the current frameworks highlights an operational disconnect regarding information harms:

- **The Recommender System Paradox:** Under the AIA's risk classification, the majority of social media recommender systems are classified as **minimal risk**, exempting them from strict statutory design obligations. However, under the DSA, these exact recommender systems are viewed as primary infrastructure drivers of systemic risks, disinformation amplification, and information fragmentation.
- **Subliminal Manipulation (Art. 5):** The AIA strictly prohibits AI practices that utilize subliminal techniques to manipulate behavior. The integration of advanced Large Language Models (LLMs) directly into search engines raises serious, unresolved legal questions about where "information retrieval" ends and "subliminal manipulation" begins, particularly regarding voting behavior and elections.
- **The Enforcement Gap:** Because the AIA regulates upstream technical models, it remains largely detached from the unpredictable downstream societal impacts of content

dissemination. Without highly targeted enforcement, the dual-framework approach risks remaining purely theoretical.

6. Recommendations for Policy & Research

To bridge the fragmentation between technical regulation and media ecosystem vulnerabilities, the article suggests three paths forward:

1. **Institutionalizing Codes of Practice:** Utilizing future co-regulatory Codes of Practice to explicitly clarify the technical and operational boundaries between the DSA and AIA.
2. **Reevaluating Risk Classification:** Urging the European Commission to leverage its powers to reclassify algorithmic recommender systems as "High-Risk" under the AIA, subjecting their design phase to tighter statutory scrutiny.
3. **Targeted Legal Research:** Conducting further scholarly legal analysis on the specific overlap between high-risk AI applications (Annex III) and systemically risky GPAI models to prevent compliance blindspots.